CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E8CD4680A
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Ron Tapscott <ron.tapscott@enron.com>
Sent: Wed, 19 Jan 2000 07:11:00 -0800 (PST)
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Cc: Cindy Stark <cindy.stark@enron.com>, Beth A Ryan <beth.ryan@enron.com>, Kathy Campos <kathy.campos@enron.com>
Subject: Cristobal Prep Meeting

The Cristobal Prep Meeting (preceding Enron's hosting of the Alliance members on Friday, February 4, 2000) to review Enron's plans for participation in the Alliance RTO is scheduled for Tuesday, February 1 from 9:00a-11:00a in EB 49C3. The agenda will be as follows:

Review JV analysis based on new inputs (Alliance wires and pipes) provided by Alliance members (Lehman Brothers)
Address JV structural issues (see discussion below)
Review synergy presentation planned to be presented to the Alliance members on the 4th (see discussion below)
Confirm steps and outcomes for the meeting on the 4th

Please call me if you have any questions or comments. Thank you, Ron.

JV Structural Issues --

Description: ENE to outline/summarize details re: all structural issues and send to Alliance Partners prior to the 2/4 meeting in Houston.

Responsible Parties: Mike Moran, Steve Van Hooser, and LeBouef (Steve will be extending an invitation to LeBouef for the 1st)

Issues are as Follows ■)

o Structure (refers to Joint Venture Diagram)
? Does our structure address the criticisms outlined in FERC■,s Order

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? What is the appropriate corporate entity form ■) Limited Partnership or Limited Liability Corporation
? Structure Keys are a balance of --
_ Independence
_ Value
_ Control
? Is stock contribution advantageous and does it present issues for both GPG and Alliance entities
o Approval Rights (Reference both the Alliance Order and the summary prepared by LeBouef)
? FERC■,s conditional order took exception to the Rights outlined in the Alliance Proposal (it should be noted that some of these rights are different then those proposed by Enron ■) see LeBouef table outlining the two proposals on p. 25.)
? Provide cites from approved structures
o By-Laws
o Directors/Managing Partners
? Focus on election of Directors with goal of maintaining independence
o Officers (a business issue)
o Stakeholder Groups
o Native Load
o Market Power

Value Proposition/Synergies --

Purpose: Identify synergies (value) in both cost savings, revenue enhancement and financial engineering at NewCo/TransCo.

Timing and Responsible Parties:

	Synergy Categories		
Value Definitions	Pipes to Pipes	Pipes to Wires	Wires to Wires
Cost Savings	ENRON/PWC (2/4)	ENRON/PWC (2/4)	ALLIANCE/AA (1/28)
Revenue Enhancements			
o Product/Tariff Offerings			
o Expansion	ENRON/PWC (2/4)	ENRON/PWC (2/4)	ALLIANCE/AA (1/28)
Financial Engineering (i.e., re-capitalization)	ENRON/PWC (2/4)	ENRON/PWC (2/4)	ALLIANCE/AA (1/28)